

CASE ID: 202504710002a

EPISODE NAME: China Responds to 34% US Tariffs

2025/04/04 - Ongoing

Sender: China (710)

Target: United States (2)

Issue: Retaliation (16)

Final Outcome: Ongoing

Narrative:

On 2025/04/04, China imposed 34% tariffs on all US imports, in addition to restrictions on the export of some heavy rare earth metals and rare earth magnets.¹ Following this, on 2025/04/09, China restricted outward-bound investments from the US, through a systematic refusal to process and accept companies' requests to start or expand operations in the U.S.² These restrictions were a direct retaliation to the US's decision to impose a 34% tariff on all Chinese imports on 2025/04/02.³

The sanctions represented an escalation in the US-China trade war. In 2025/02, the two countries had traded 10%-15% tariffs and various other trade restrictions following president Donald Trump's inauguration.⁴ Further tariffs were implemented by both sides on 2025/03/04.⁵

On 2025/05/12, the Chinese government agreed to reduce their tariffs as the United States would follow at the same time. Both nations agreed to keep a 10% blanket tariff and a 90 day suspension for the retaliation tariffs.⁶ Another round of negotiations on 2025/11/10 reduced Chinese countermeasures further.⁷ Some trade restrictions remain in place.

¹ Gan, Nectar, and Liu, Juliana. "China imposes 34% reciprocal tariffs on imports of US goods in retaliation for Trump's trade war." *CNN*, April 4th, 2025.

<https://www.cnn.com/2025/04/04/business/china-us-tariffs-retaliation-hnk-intl>.

² "China Restricts Companies from Investing in US as Tensions Rise." *Bloomberg*, April 2nd, 2025.

www.bloomberg.com/news/articles/2025-04-02/china-restricts-companies-from-investing-in-us-as-tensions-rise.

³ The White House. "Fact Sheet: President Donald J. Trump Secures a Historic Trade Win for the United States." *The White House*, May 12th, 2025.

<https://www.whitehouse.gov/fact-sheets/2025/05/fact-sheet-president-donald-j-trump-secures-a-historic-trade-win-for-the-united-states/>.

⁴ Boak, Josh, et al. "Trump Puts Tariffs on Canada, Mexico and China, Spurring Trade War as North American Allies Respond." *AP News*, 2 Feb. 2025,

apnews.com/article/trump-tariffs-trade-china-mexico-canada-inflation-753a09d56cd318f2eb1d2efe3c43b7d4.

⁵ Boak, Josh, et al. "Trump's Long-Threatened Tariffs against Canada and Mexico Are Now in Effect, Kicking off Trade War." *AP News*, March 4th, 2025.

apnews.com/article/trump-tariffs-canada-mexico-china-643086a6dc7ff716d876b3c83e3255b0.

⁶ Joseph Stepansky. "Trump tariffs updates: China hit with 145% duties as Wall Street slides." *Aljazeera*, April 10th, 2025.

<https://www.aljazeera.com/economy/liveblog/2025/4/10/trump-tariffs-live-stocks-skyrocket-as-many-duties-paused>.

⁷ Huld, Arendse Qian Zhou. "US and China Reach Trade Concessions Following Trump-Xi Meeting: Outcomes and Implications." *China Briefing*, 10 Nov. 2025.

<https://www.china-briefing.com/news/trump-xi-meeting-outcomes-and-implications>